

Transaction Review Memo: the announced sale to Nippon Paint against our September case study

9 October 2026. Independent student analysis/reconstruction based on publicly available information. Not affiliated with, commissioned by, or representative of Goldman Sachs, AkzoNobel or Nippon Paint.

Summary

AkzoNobel agreed to sell Decorative Paints in seven countries to Nippon Paint at an enterprise value of about EUR 1.20bn (USD 1.35bn), 21x FY2025 EBITDA (PUBLIC FACT). On the reported FY2025 figures, our v2 DCF gives EUR 713m (Base), EUR 854m (Buyer case) and EUR 586m (Downside). The weighted blend of DCF, comparables and precedents is EUR 550m / 775m / 1,100m (low / mid / high), set before the comparison with the price. The announced EV is EUR 415m (53%) above the weighted mid-point and above the top of the range. Reaching it on standalone cash flows would need a terminal EBITDA margin of 34.9% to 43.0% (reported FY2025: 22.3%) or perpetual growth of 5.0% to 6.4% (model: 3.0%). The announced price is a check, not a target: no assumption was tuned to it.

1. Transaction facts

Item	Fact	Class
Enterprise value	About USD 1.35bn / EUR 1.20bn; FX 1.125 USD per EUR	PUBLIC FACT (SRC-037)
Multiple	21x FY2025 EBITDA; Nippon Paint puts it at about 16x projected 2026 EBITDA	PUBLIC FACT (21x); REPORTED (16x)
Net cash proceeds	About USD 1.0bn / EUR 0.9bn after taxes and minority partners	PUBLIC FACT
EV less proceeds	EUR 300m (USD 350m): tax and minority leakage, not equity value	ANALYST CALCULATION
Perimeter	Vietnam, Indonesia, Malaysia, Thailand, Singapore, Papua New Guinea, Australia; AkzoNobel keeps Coatings and Global Business Services	PUBLIC FACT
Timing	Signed 3 Oct 2026; Indonesia late 2026, others mid-2027, subject to approvals	PUBLIC FACT (timing); REPORTED (signing date)

2. Reported financials

FY2024 revenue USD 299m, EBITDA USD 69m (23%); FY2025 revenue USD 291m, EBITDA USD 65m (22%). These are not in AkzoNobel's release. They are reported by several outlets, attributed to Nippon Paint; the primary Nippon Paint release was not read (REPORTED). At USD 1.125 per EUR, FY2025 revenue is EUR 258.7m and EBITDA EUR 57.8m, against September's illustrative EUR 300m and 15.8% proxy margin (EUR 47.4m). The margin was understated by about 6.5 points and the revenue overstated by about EUR 41m. Nippon Paint's 2026 projection (revenue above about USD 330m, margin about 26%) is single-source (PCI Magazine) and is used only in the Buyer case. It is not known whether the reported margin is on a standalone basis.

3. v2 valuation versus the announced price

The v2 model rebuilds the carve-out on seven countries, with one FX input, three selectable cases and a normalised terminal year. Base holds the reported FY2025 margin and grows 5% a year (the ASEAN market rate, applied by assumption). Buyer starts from Nippon Paint's 2026 projection and fades. Downside grows 3% with a margin step-down for standalone costs, since AkzoNobel keeps Global Business Services. WACC is 8.82% (beta 0.821 unchanged; revenue-weighted country risk premium 1.44%; blended statutory tax 22.04%); terminal growth is 3.0%. Assumptions that are illustrative: the country split, risk-premium tiers, margin fade and downside step-down.

Method	Weight	Low	Mid	High	Announced less mid
DCF - Base case	25.0%	618	713	846	487
DCF - Buyer case	7.5%	741	854	1,012	346
DCF - Downside case	7.5%	510	586	694	614
Trading comps - EV/EBITDA (FY25 reported)	25.0%	594	881	1,512	319
Trading comps - EV/Revenue (FY25 reported)	10.0%	468	731	1,062	469
Precedents - EV/EBITDA (FY25 reported)	15.0%	671	1,058	1,444	142
Precedents - EV/Revenue (FY25 reported)	10.0%	71	474	567	726
Weighted (unrounded)	100%	551	785	1,097	415
Recommended range (rounded to 25)		550	775	1,100	

EUR m. DCF low / high: WACC plus / minus 0.5pp with growth minus / plus 0.5pp. Comparables: P25 / median / P75 of six peers (Yahoo Finance, 2026-09-18, not refreshed). Precedents: min / median / max of the four September deals; the announced deal is excluded from the statistics.



Only 2 of the seven methods reach EUR 1.2bn at their high end, both on EV/EBITDA. The EV/EBITDA precedent mid-point (EUR 1,058m) is the closest single mid-point but rests on two data points, one a rejected offer. The gap is 46% to 68% under four alternative weightings (equal, DCF only, market only, as fixed). At the announced price the multiples are 20.8x FY2025 EBITDA, 19.8x Base FY2026E EBITDA and 15.7x the Buyer case's FY2026E EBITDA (Nippon Paint states about 16x).

4. Reverse DCF: what you need to believe

To reach EUR 1,200m (all else held)	Base	Buyer	Downside
Terminal EBITDA margin needed	38.7%	34.9%	43.0%
Case terminal EBITDA margin (FY2030E)	22.3%	24.2%	20.3%
Terminal growth needed (WACC 8.82%)	5.7%	5.0%	6.4%
Model terminal growth	3.0%	3.0%	3.0%

For comparison, the reported FY2025 margin is 22.3% and Nippon Paint's 2026 projection is about 26%. The gap between price and standalone value could reflect synergies, a lower discount rate than 8.82%, a better business than the reported numbers show, or strategic value. This analysis cannot tell these apart.

5. Buyer outcome

Nippon Paint is the buyer (PUBLIC FACT). September rated it the strongest fit (overlap in Malaysia, Thailand and elsewhere) and the highest regulatory risk. The outcome is consistent with that view, which is one data point and not evidence the method predicts bids. The announced structure uses several Nippon Paint entities for different countries; Indonesia is a separate transaction closing first; regulatory approvals are conditions (REPORTED / PUBLIC FACT). No view is offered on why the structure was chosen. SCG, the only buyer reported in preliminary talks in September (ION Analytics, one source), is not mentioned in the coverage checked; that does not show whether it bid. For Kansai Paint, Asian Paints / Berger, Sherwin-Williams and PPG there is no evidence either way. No bidder list for this process is public and none is claimed.

6. Synergies needed to justify the price (ILLUSTRATIVE)

EUR m unless stated	Base DCF	Buyer-case DCF
Announced EV less standalone DCF (the gap)	487	346
Gap as % of announced EV	41%	29%
Run-rate annual cost saving needed (pre-tax)	38.6	27.5
as % of FY2025 reported revenue	14.9%	10.6%
as % of FY2025 reported EBITDA	67%	48%

Method: saving capitalised after tax at WACC 8.82% and growth 3.0% (tax 22.04%), less a one-off integration cost of 1.0x the saving, tax-effected (ILLUSTRATIVE). Full run-rate from day one flatters the result. Comparison: September's heuristic applied to FY2025 revenue gives cost savings of EUR 5.2m to 10.3m (2% to 4% of revenue); one outlet (SRC-048, attribution not stated) reports annual savings 'in the high single digits as a percentage of sales', about EUR 18m to 23m at 7% to 9%. The saving needed is 3.7x and 2.7x the high end of the September heuristic.

7. What September got right and wrong

Held up: the trading-comps EV/EBITDA range (10.3x to 26.2x) bracketed the announced 20.8x on reported FY2025 EBITDA; Nippon Paint was rated the strongest fit and the highest regulatory risk. Did not hold up: the four-country perimeter; the EUR 300m revenue anchor (reported EUR 259m); the 15.8% margin proxy (reported 22.3%); the DCF-anchored EUR 500m to 775m range (the price is 55% above its top); the exclusion of the 25x JSW precedent from the working range; SCG as a likely participant (not mentioned in coverage); and 'no timeline known'. September's reasoning has not been rewritten: the September files remain in folders 01 to 10.

8. Limitations and open items

- FY2024 and FY2025 revenue and EBITDA are reported by several outlets, attributed to Nippon Paint; the primary Nippon Paint release was not read; they are not in AkzoNobel's release. The 2026 projection (revenue above about USD 330m, margin about 26%) is single-source (PCI Magazine) and was not found in five other outlets checked. Malaysian plant and brand details are also single-source.
- The country split, country risk premiums, margin fade, downside step-down and integration-cost multiple are illustrative and unsourced. Gross margin, D&A, capex, working-capital days and the EUR 8m separation cost are September's illustrative inputs.
- Comparables are dated 2026-09-18 and were not refreshed; beta 0.821 is unchanged. Precedent EV/EBITDA has two data points.
- No equity value can be derived: the perimeter's net debt and minority interests are not disclosed.
- Whether the reported margin is on a standalone basis is unknown; AkzoNobel keeps Global Business Services, so standalone cost risk is real.
- Not refreshed: the September 07_Pitch_Deck and the September Information Memorandum (a status-notice copy is provided). Sources were read through an AI page-fetch summary, not verbatim, in several cases.

Files: 11_Post_Announcement_v2/Project_Southeast_Asia_v2_Financial_Model.xlsx, ..._Valuation.xlsx, ..._Buyer_Analysis.xlsx, ..._Transaction_Review.pptx / .pdf; sources in 10_Supporting_Research/Support_Sources.xlsx (SRC-037 to SRC-048).